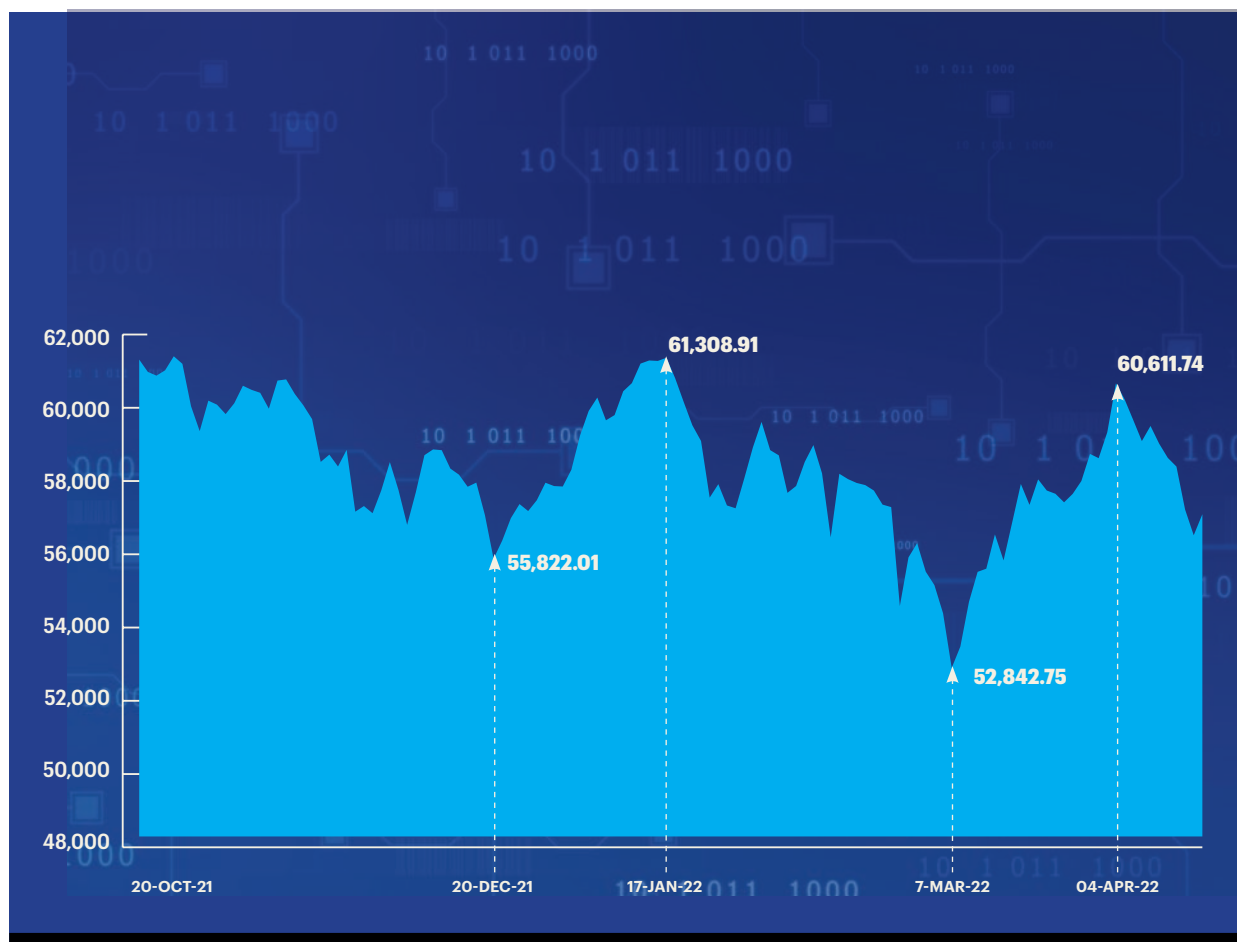




Figures are BSE Sensex daily close values; **Source:** BSE

# Just be Cautious

The stock markets are on a yo-yo trip, but experts reckon there is not much to worry about. Just tighten your seat belts

**BY ASHISH RUKHAIYAR**

**IN THE CURRENT CALENDAR YEAR,** there have been six instances of the benchmark S&P BSE Sensex losing more than 1,000 points in a single trading session. Interestingly, there have been an equal number of sessions when it gained over 1,000 points in a single day. And, a single-day fall or gain of high three digits has become the norm. Ask any market participant,

and the one word on everyone's mind is 'volatility'. But is it that Indian markets have suddenly become overly volatile? Or are they simply reacting to the concerns that continue to plague the domestic- and also the other stock markets the world over?

Currently, the key concerns include a mix of macroeconomic and geopolitical factors. The

Russia-Ukraine war was a surprise, to say the least, as most market participants—till a couple of months ago—were of the view that there would be a diplomatic escalation but never a full-blown war. The war couldn't have come at a worse time as concerns related to the Covid-19 pandemic were just starting to abate. Meanwhile, the war has, in turn, pushed up commodity prices and, thereby, inflationary pressures on various economies, including India.

In the latest edition of the widely-followed Greed & Fear newsletter, Jefferies' Christopher Wood has stated that while both China and India are facing issues, inflation is a bigger problem for India. "China currently has some problems, inflation is not one of them... Inflation,